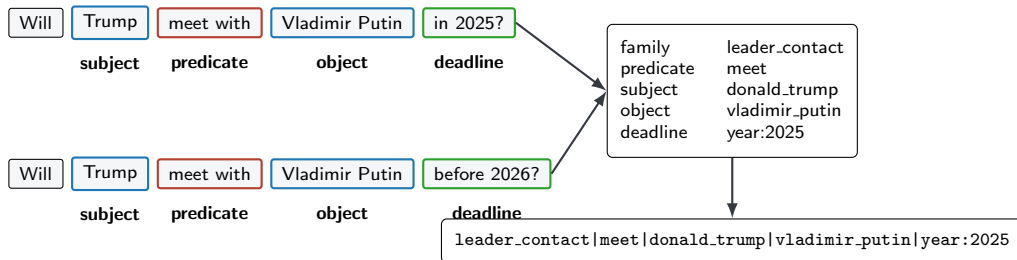


Motivation. Polymarket contracts can settle through UMA: a proposer asserts the outcome, others can dispute, and the final payout depends on the resolver process. That creates a distinct risk from the underlying event itself.

- **Mineral rights** and **Zelensky suit** are useful examples because resolver failures are not just theoretical; public disputes over how markets should resolve have actually occurred.
- The empirical comparison is Polymarket versus Kalshi: matched PM markets are UMA-backed on chain in this sample, while Kalshi resolves internally.
- The attenuation metric assumes the relevant manipulation can target whichever side is disadvantaged by resolver ambiguity, so the expected pattern is movement toward 50 rather than a lower average Yes price.



Event-template parsers claim a title first, setting the market family and the fields that matter.

Normalization rules regularize aliases and deadlines: Trump to donald_trump; in 2025 and before 2026 to year:2025.

- Leader contact
- Office exit
- Election
- Candidate office
- Generic election winner
- Sports game

- Sports award / prop
- Sports outcome
- Fed count
- Fed decision
- Crypto threshold
- Market leader

- Geopolitical event
- Policy action
- Award winner
- Media winner
- Economic threshold

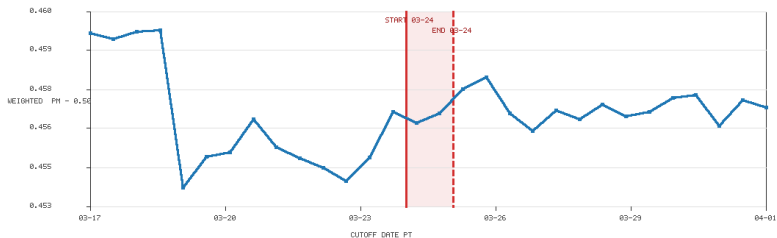
Exchange	Markets	Parsed	Matched	Matched share
Polymarket	5,680	1,346	150	2.6%
Kalshi	8,992	1,979	149	1.7%

Exchange	Parsed rate	Volume-weighted parsed rate
Polymarket	23.7%	88.7%
Kalshi	22.0%	86.6%

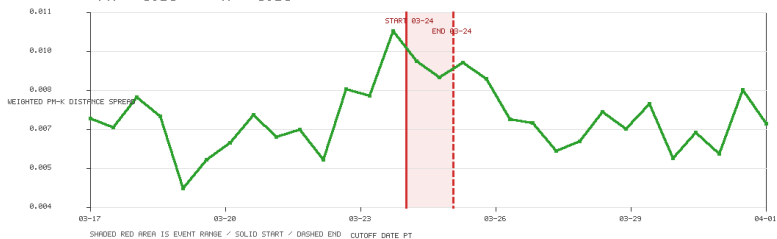
Strict matching keeps only pairs with the same deterministic `contract_key`. Current output: 150 matched rows and 149 unique contract keys.

MINERAL RIGHTS STRICT MATCHED MARKETS

PM - 0.50

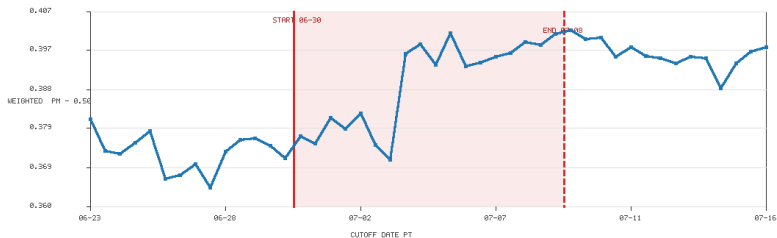


PM - 0.50 - K - 0.50



ZELENSKY SUIT STRICT MATCHED MARKETS

PM - 0.50

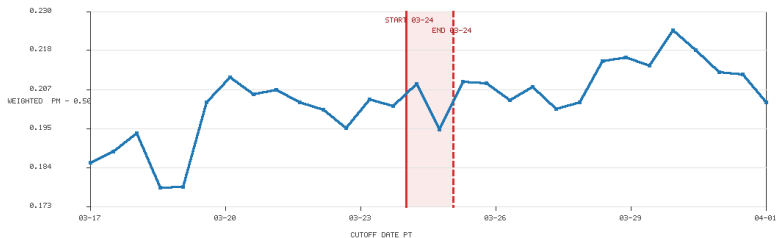


PM - 0.50 - K - 0.50

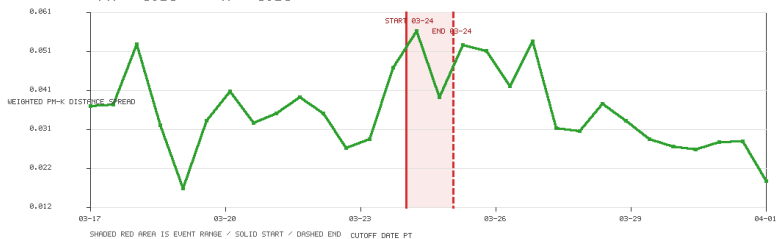


MINERAL RIGHTS STRICT MATCHED MARKETS

PM - 0.50

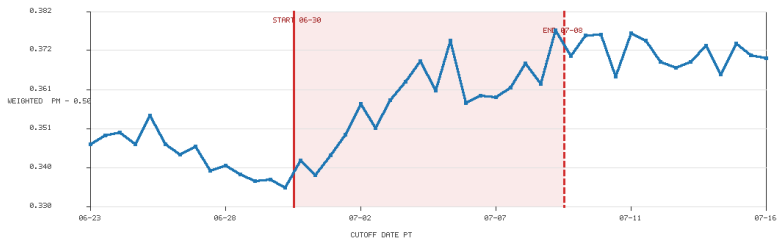


PM - 0.50 - K - 0.50



ZELENSKY SUIT STRICT MATCHED MARKETS

PM - 0.50



PM - 0.50 - K - 0.50



SHADED RED AREA IS EVENT RANGE / SOLID START / DASHED END CUTOFF DATE PT

Sample	Outcome	Contracts	Post coef.	SE	t
Pooled, mineral rights	$ PM - .50 $	105	+0.0010	0.0004	2.54
Pooled, mineral rights	$ PM - .50 - K - .50 $	105	+0.0003	0.0004	0.69
Pooled, Zelensky suit	$ PM - .50 $	57	+0.0197	0.0014	14.51
Pooled, Zelensky suit	$ PM - .50 - K - .50 $	57	+0.0047	0.0008	5.89
Similar, mineral rights	$ PM - .50 $	12	+0.0117	0.0031	3.80
Similar, mineral rights	$ PM - .50 - K - .50 $	12	+0.0012	0.0027	0.46
Similar, Zelensky suit	$ PM - .50 $	19	+0.0204	0.0016	12.50
Similar, Zelensky suit	$ PM - .50 - K - .50 $	19	+0.0147	0.0013	11.24

Negative post coefficients would support attenuation toward 50. “Similar” is `uma_risk_exposed`: election, office-exit, leader-contact, and policy-action families.

Caveats

- PM-volume weights are ex-post.
- Matched markets are high-precision but not comprehensive.
- Event windows may blend resolver-risk repricing with unrelated news, liquidity, and price discovery.

Interpreting null or non-attenuation results

- UMA failure risk may already have been priced.
- Traders may not price resolver risk in comparable markets.
- Failures may be too rare for broad panels to detect.
- Effects may live only in at-risk subsamples: ambiguous rules, smaller markets, thin liquidity, or terminal windows.